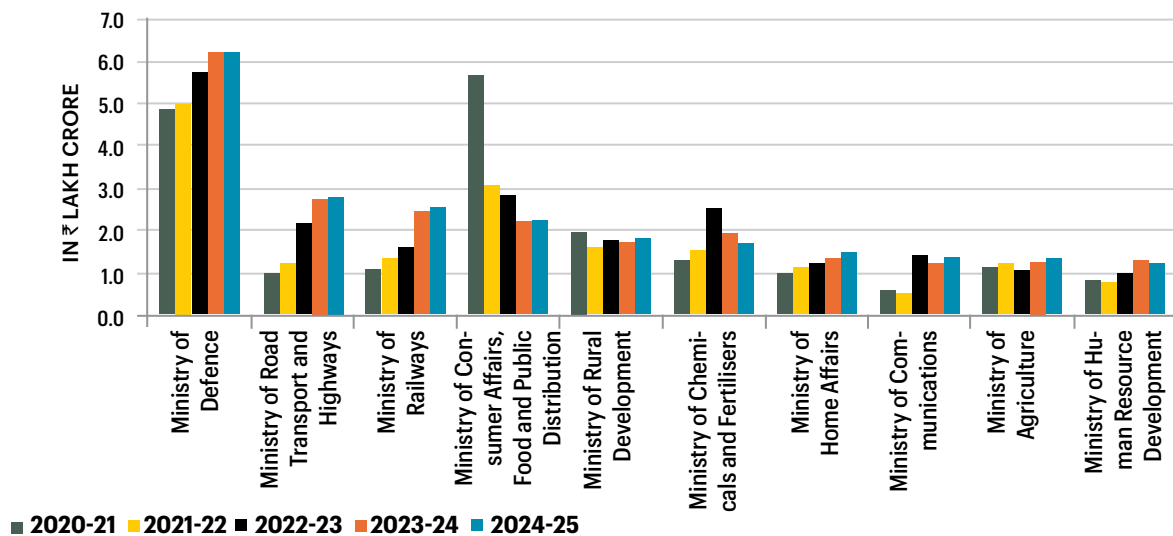


BUDGET ALLOCATIONS

- The ministries of road transport and highways, Railways and communications have seen more than 100% jump in allocation since FY21
- The government has increased its focus on defence in recent years



NOTE DATA FOR 2024-25 ARE BUDGET ESTIMATES (BE), DATA FOR 2023-24 ARE REVISED ESTIMATES (RE).

SOURCE CMIE ECONOMIC OUTLOOK

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AUTOMOBILES

India's automobile market, which is the third largest in the world, is undergoing a major transformation, driven by factors like changing consumer preferences, emerging needs for sustainability, and evolving government policies. The shift will be even faster with Union Road Transport and Highway Minister Nitin Gadkari recently revealing India's aspiration to become the No. 1 country in the auto segment.

No doubt, the sector has seen some positive changes in recent times. However, certain shortcomings require the attention of policymakers, according to the global consultancy firm Deloitte. For instance, the industry has been grappling with the issues around complex classifications for a long time now. The government could also consider removing the compensation cess for the sale of vehicles.

In a report, Deloitte says the government may also consider reducing GST on hybrid vehicles. "Hybrid vehicles can be considered as one of the closest alternatives to EVs. Promoting the use of hybrid vehicles will help reduce carbon emissions and reduce import dependency on crude oil. Hybrid vehicles can be an intermediate step for consumers who are not entirely ready to transition towards EVs."

CAPITAL MARKETS

Industry watchers say the Union Budget 2025-26 should ideally continue the path of simplifying and rationalising taxes on capital market products. Bajaj Broking believes that long-term capital gains tax, which was rationalised at 12.5% in the last Budget, can be reduced further by 50-200 basis points to benefit investors. Similarly, lowering securities transaction tax and simplifying provisions for alternative investment funds will foster institutional investments, improve market liquidity, and attract foreign portfolio participation. "Continuing in the same vein, simplifying tax rules for financial instruments such as bonds, stocks, and derivatives, as well as for foreign portfolio investors (FPIs), would remove complexities and enhance the market's attractiveness," it says in a note.

In short, the expected focus on these sectors in Budget 2025-26 would not only influence the operational landscape for companies but also positively impact investor sentiment. With robust government support, companies in infrastructure, real estate, healthcare, and renewable energy could see enhanced growth in profitability and market valuations, creating promising opportunities for both domestic and foreign investors. **BT**

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